

WBTN pitch deck

PITCH — WBTN — VERDICT

ADJUDICATED 2026-08-17 — WATCH

WEBTOON Entertainment Inc. (NASDAQ: WBTN), CIK 1997859. Last price \$8.22 (pack tape; both benches worked off the \$8.285 Friday close). We hold nothing and have no order working. This draft creates the first ledger row for this name.

What we believe

WEBTOON is a digital comics platform — readers pay per episode to unlock chapters early, and the company owns or licenses the underlying stories, some of which (notably *Solo Leveling*) become anime, games and merchandise.

Three things about it are true and checkable:

- 1. It is genuinely cheap on the numbers, and cheaper than our own opening brief claimed.** 135,711,070 shares outstanding as of 2026-07-31 ([SEC XBRL cover-page series](#)) at ~\$8.28 is a \$1.12B company. It holds \$583.1M of cash plus \$11.2M of short-term deposits, has **zero borrowings**, and carries only \$22.6M of operating leases ([10-Q balance sheet, 2026-08-10](#)). Strip the cash out and the operating business is valued at about \$541M against roughly \$1.35B of annual revenue — **0.40x sales**. Half the market value is cash in the bank.
- 2. The business is currently not making money, and the company has told us the next quarter will be about the same.** Second-quarter adjusted profit (EBITDA) was \$5.5M against \$9.7M a year earlier; the company guided the third quarter to **\$0.0–5.0M** — a guide whose floor is zero. Operating cash flow was **negative \$6.3M** versus positive \$5.7M a year ago.
- 3. The damage is concentrated in Japan, and it is the bad kind of damage.** Japan is 49% of revenue and the company's highest-spending market. Paying users there fell **9.5%**, and the share of readers who pay fell to **9.4%** against a street expectation of 10.4%. Critically, average spend *per* paying user was **up 2.9%** in constant currency. So this is not “we raised prices and lost people” — it is people leaving at unchanged prices. That is real demand loss, not a pricing mistake we could expect the company to reverse.

Our position: this is a cheap, debt-free platform with a real operating problem in its largest market and a governance problem sitting on top of the cash. We are not buyers today. We want it on the sheet with instruments armed, because the reopen case is asymmetric and costs us nothing to wait for.

What the market believes

The stock is down **63%** from its 52-week high (\$22.47) and sits **4.7%** above its 52-week low (\$7.85). The market is pricing WEBTOON as a business whose largest market is structurally shrinking and whose cash will be spent rather than returned.

Two market-structure facts cut against the pure-despair read: - **Disney owns about 2%** (2,666,757 shares, per the [2026 proxy statement](#)). A strategic holder, not a fund flow. - **The tradeable float is tiny and heavily shorted.** NAVER holds 59.67%, LY Corp sits in a 20%+ voting tier, Disney ~2% — roughly 85% of shares are locked up, leaving a float of about 15–18M shares. Reported short interest of 2.75M shares is only ~2% of shares outstanding but **~15–18% of the actual float**, at about 4.4 days to cover. Any genuinely good news has fuel behind it.

Note what we could *not* establish: nobody has extracted what the street actually models for Q3 revenue or profit. We know a street number exists for this company — the 10.4% Japan paying-ratio consensus proves it — but we never pulled the revenue and profit consensus. **So we cannot presently say whether we disagree with the market or only with our own opening brief.** That is a hole in this deck, and it is a gate before any bid.

Why we might have edge

- **The valuation is real, not an accounting illusion.** We verified share count, cash, and the absence of debt directly from the filed balance sheet and the SEC's own XBRL feed, from two independent fetch paths that agreed on every load-bearing figure. A debt-free business at 0.40x sales with half its value in cash has a genuine margin-of-safety shape *if* the cash belongs to shareholders.
- **We correctly diagnosed the mechanism of the Japan break where the surface numbers invite the wrong read.** Falling paying users with rising spend per user is attrition, not a price-lever failure. That distinction also weakens the “Korea will become Japan next” fear: Korea's growth is price-led (spend per user +14.8% versus paying users +10.4%) in a market whose users are still paying — a different regime, not an earlier stage of the same one.
- **We found the thing the price does not obviously reflect.** Within days of the print, and with the stock 5.5% off its 52-week low, the company agreed to buy up to 60% of RI Games Holdings for **KRW 150bn (~\$100M)** from Kevin Tail Han — who founded RI Games *and* Redice Studio, the studio behind *Solo Leveling*, the flagship property this entire thesis rests on. Plus up to KRW 50bn of further commitments. No buyback anywhere. That is the controller telling us, in public, what the cash is for.
- **Size is not a barrier.** At roughly 628,000 shares a day, 1% of daily volume is about \$52,000. A 1% position in our ~\$1.03M book is about \$10,300 — a fraction of a single day's participation. Nothing here is un-ownable on liquidity.

Why it might be priced in

- **The cash floor is not our floor.** NAVER controls 59.67% of the votes. Minority holders cannot direct that \$583M, cannot force a buyback, and just watched ~\$100M of it go to an insider-

connected seller at the equity low. A net-cash floor that minorities do not control is optionality for the controller, not protection for us. Under our own response framework this is a governance and business-risk finding: **it caps how much we can own; it does not by itself refute a 0.40x-sales platform.**

- **The cheapness may be a measurement artifact.** At a 1.6% profit margin and a guided-zero next quarter, “0.40x sales” and “27–54x profit” describe the same company. Neither multiple settles the question. The honest statement is that margin is unresolved in both directions.
- **We have run this play before and lost seven times out of seven.** Our post-earnings “it’s cheap now” template is 0-for-7. The headline is the news; the market is not slow to a printed miss.
- **Nothing forces resolution for about 60 trading days.** The next report is roughly 2026-11-16, and that date is derived from a data vendor — no company announcement confirms it. We would be paying for the option to wait, into a quarter management has already told us could earn nothing, against a controller whose information we do not have.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count and debt (brief said ~130M shares, “debt not verified”)	SEC XBRL cover-page series + filed 10-Q balance sheet, fetched independently by both benches	135,711,070 shares at 2026-07-31; cash \$583.145M; \$11.2M short-term deposits; zero borrowings ; \$22.6M operating leases; total liabilities \$368.6M	CONFIRMED — and the brief was wrong in the thesis’s favour. Cap \$1.124B, enterprise value ~\$541M, ~0.40x sales
“0.45x sales is cheap”	Same balance sheet plus the Q2 press release	The multiple depends entirely on which denominator you pick: on guided profit it is 27–54x	CONFIRMED as a measurement problem. Blue bench added the symmetric correction red missed: pricing off a guided-zero quarter is equally distorted in the other direction
“Korea alone is worth \$600M”	Looked for segment-level profit in the 10-Q	The filing discloses segment <i>revenue</i> only. No segment profit exists to compute this from	NOT CONFIRMABLE. No tool can compute an undisclosed number
“Cash is the floor”	Deal exhibits filed with the 10-Q; company communication exhibit; proxy statement; press coverage	60% of RI Games for ~\$100M cash, seller Kevin Tail Han (founder of RI Games and of Redice Studio, the <i>Solo Leveling</i> studio), inside a 59.67% NAVER-controlled company, no buyback, further milestone commitments	CONFIRMED. This is the finding that survives everything
Deal size “\$150M”	Currency unit check at the primary document	KRW 150bn ≈ \$100M . The “\$150M” figures circulating were a naive 1000:1 conversion	CONFIRMED — a mirror-source error we caught

Claim	How checked	Found	Confirmed?
Deal put/call obligations running to 2030	Red bench graded this CONFIRMED from press coverage	Our own bench erred. The SPA and SHA exhibits are image scans (39 and 43 JPEG pages) — not machine-readable. Text tools cannot read them, so red confirmed a term it had not actually read. Blue caught it	UNVERIFIED. The tail obligations rest on secondary press until a human opens the scans
Japan mechanism (“price lever snapped”)	Q2 release decomposition	Japan spend per paying user + 2.9% in constant currency while paying users fell 9.5% — attrition at held prices	CONFIRMED, and red’s framing was imprecise. Blue’s correction is the one we adopt
Japan reported vs. underlying decline	Q2 release	Paid content – 15.6% reported vs –6.7% in constant currency — currency masks about half the decline. We are dollar holders; we eat the reported number	CONFIRMED (found by blue, missed by red)
Short interest “internally inconsistent / garbled”	Red bench’s search returned 2.75M shares against a claimed 17.7% and called it irreconcilable	Our own bench erred. Blue reconciled it: with ~85% of shares locked up, float is ~15–18M, so 2.75M is ~2% of shares but ~15–18% of <i>float</i> , and 2.75M ÷ 628k daily volume = the quoted 4.4 days exactly	PLAUSIBLE, not confirmed. Blue’s fix leans on a Nasdaq page and proxy arithmetic, not a primary filing. No part of this verdict rests on it
“Senior churn at the Korean subsidiary”	Advisory agreement filed with the 10-Q	Retainer with Chankyu Park, KRW 320M/year (~\$230k), Jun-2026 to May-2027, with equity restrictions on competing employment — all confirmed. But Park’s former role is nowhere established , and a modest retainer with equity-preservation terms is also a routine soft landing	Existence CONFIRMED; significance UNVERIFIED. Red over-read it
“Damage is arriving, not structural” (the class assignment)	Five app-engagement runs: LINE Manga, Piccoma, Naver Webtoon KR, Kakao Webtoon, ebookjapan	All five returned UNRESOLVED. Both benches said so honestly — and then both graded the class anyway. That is our error, twice over	NOT MEASURED IN EITHER DIRECTION. This, not valuation, is why the verdict is WATCH and not a buy or a kill
Whether we disagree with the street	Nobody extracted it	The only street number in this entire record is the Japan paying-ratio consensus (10.4%). No bench stated street Q3 revenue or profit against ours	NOT DONE. A gate before any bid
Seasonality of the Q3 deceleration	Our seasonality script	Never run — neither bench had shell access. Blue substituted a hand check from the evidence pack: Q3’24 \$347.9M vs Q2’24 \$321.0M (+8.4% quarter-on-quarter, a seasonally <i>strong</i> quarter), so the guide’s deceleration is real rather than a soft-comparison artifact	PARTIALLY — by hand, not by tool
Reopen price band arithmetic	My own check while writing this deck	The reopen gate is written as “enterprise value ≤ ~0.25x sales (roughly \$6.30–	INTERNAL INCONSISTENCY —

Claim	How checked	Found	Confirmed?
		6.50)". Those are not the same number: 0.25x of ~\$1.35B sales plus \$583M cash over 135.7M shares is ~\$ 6.78 , and \$6.30–6.50 implies roughly 0.21x . The dollar band is <i>stricter</i> than the ratio, so the alert as written would fire late	disclosed, not resolved. I reproduce the gate verbatim below and arm both levels
Fetch integrity	Red used a direct EDGAR proxy; blue routed through a text-extraction mirror	Both paths agreed on every load-bearing figure (share count, cash, EBITDA, guide). No "the document didn't say it" claim in this file rests on a truncated fetch	CONFIRMED clean. Future work on this name should use our own SEC fetcher directly
Detector coverage	Compared each bench's consulted list against what was dispatched	Both lists drifted — red answered detectors blue's pack never carried, and vice versa. Same defect logged on two other names this week	PROCESS DEFECT. The output validator should diff consulted-vs-dispatched mechanically

PROPOSED ENTRY BANDS

No entry today. Flat, no order. The reasons: a quarter guided to possibly zero profit, roughly 60 trading days to a catalyst date nobody has confirmed, a template that is 0-for-7 on exactly this setup, and a cash pile being spent by a controller whose information we do not have.

What follows are the **reopen gates, reproduced verbatim from the adjudication**. These are the conditions under which this name comes back to court — not entry triggers by themselves.

- **DATA (primary, un-dated but cheap — run by 2026-09-30):** app_review_velocity resolving for LINE Manga vs Piccoma vs ebookjapan with recent-cohort-vs-lifetime rating deltas. If LINE Manga velocity is stable while Piccoma decays, the Japan break is category-wide and bounded → reopen a long court. If LINE Manga decays fastest, the structural read is right → move to AVOID. This is the single decisive unmeasured variable and both benches flagged it; the runner must treat five UNRESOLVED returns as an infra failure to fix, not a negative result.
- **DATA (Q3 print, ~2026-11-16, yfinance-derived UNCONFIRMED):** Japan MPU $\geq 2.1M$ or paying ratio $\geq 9.4\%$ (stabilisation, not recovery) AND Korea revenue $\geq +15\%$ cc AND Q4 adjusted EBITDA guided above zero. All three → reopen at whatever price prints. Japan MPU $< 2.0M$ with the paying ratio through 9% → AVOID, the structural read wins.
- **EVENT:** any buyback authorisation, tender, NAVER accumulation or take-private tell, or a non-index 13G/13D accumulation. This is the only mechanism that converts the cash pile from controller optionality into a minority floor, and on a ~15–18% short float it is the highest-convexity single event in the file.
- **DATA (owed before any future bench touches the deal tail):** a human-visual read of the RI Games SPA and SHA image-scan exhibits (rigamesholding-spa_execu.htm / -sha_execu.htm) to bound the put/call and the KRW 50bn of further commitments. Chart-only-disclosure doctrine:

grep misses pixels. Until then the 2030 tail is UNVERIFIED and no bench may grade it CONFIRMED.

- **DIVERGENCE (owed before any bid):** extract the street's Q3/FY26 revenue and adjusted-EBITDA consensus and state our number beside it with the mechanism. The paying-ratio consensus (10.4%) proves a street number exists for this name; a verdict that cannot state it has not done the work.
- **PRICE (conditioned):** WBTN's tape is idiosyncratic post-print, not carrier-dominated, so a valuation gate is admissible — but it must be conditioned on the floor still existing. Review-only alert at $EV \leq \sim 0.25x$ sales (roughly **\$6.30–6.50** at the current share count and cash), **ACTIONABLE only if the last reported cash balance is $\geq$ \$500M with no new controller-directed deployment.** A fill driven by further cash deployment is the thesis getting worse, not cheaper.

Sizing, if and when a gate opens. Starter capped at **1% of the book (~\$10,300, ~1,250 shares at \$8.25)** — about a fifth of one day's 1%-of-volume participation, so execution is not a constraint. Hard ceiling **2% of book** for as long as NAVER controls 59.67% of the votes and no buyback exists: the governance finding maps to *size*, not to dismissal. Adds only on a passed gate, never on price alone. No exits or trims to specify — we own nothing.

Catalyst dates. - **2026-09-30** — our own deadline to fix the engagement-data runner and produce the LINE Manga / Piccoma / ebookjapan read. Self-imposed, fully within our control, and the decisive variable. - **~2026-11-16** — Q3 report. **UNCONFIRMED:** derived from a data vendor, not from any company announcement. Confirming this date is itself a task. - **Unscheduled** — any buyback, tender, or NAVER accumulation filing. Highest-convexity event in the file precisely because it cannot be diarised.

Tax note: no dividend and no buyback, so all return here would be capital gain. A starter opened now would carry a short-term holding clock into 2027.

One arithmetic caveat on the price gate, disclosed above: the “0.25x sales” ratio and the “\$6.30–6.50” dollar band do not agree — the ratio implies $\sim \$6.78$. I have armed both levels below rather than silently picking one.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.78 (deck-provisional: Ratio-implied level where EV actually reaches $0.25x \sim \$1.35B$ sales at 135,711,070 shares and \$583.1M ca)
- filing watch: 8-K until 2027-02-14 (deck-provisional: Any buyback authorisation, tender or capital-return announcement - the only mechanism converting contr)
- dated pack WBTN|2026-09-30: WBTN: Internal deadline to repair and rerun app_review_velocity on LINE Manga vs Piccoma vs ebookjapan - the single decisive unmeasured vari

- dated pack WBTN|2026-11-16: WBTN: Q3 2026 earnings report - yfinance-derived, no company PR names this date. (date confirmed=False)

What remains unverified

- **The decisive variable is unmeasured.** All five app-engagement runs failed. We do not know whether Japan's weakness is category-wide (bounded, and probably an opportunity) or WEBTOON losing share (structural, and a reason to avoid the name permanently). Both benches said this out loud and both graded the class anyway. Treat the five failures as broken plumbing to repair, not as evidence of anything.
 - **The deal's tail obligations.** The share purchase and shareholders' agreements were filed as scanned images. The put/call structure, the trigger conditions, and the KRW 50bn of further commitments are known to us only through press summaries. The commonly cited "to 2030" horizon is **secondary-sourced and unverified at the primary**.
 - **What the market actually expects.** No street revenue or profit consensus was extracted. We can say the numbers are bad; we cannot yet say they are *worse than expected*, which is the only thing that matters for a price.
 - **What Korea is worth.** The company discloses segment revenue, not segment profit. Any "Korea alone is worth X" figure is unbuildable from public filings.
 - **Whether the elevated short interest is real.** The float reconciliation is arithmetic on a proxy statement plus a Nasdaq data page, not a primary filing. Graded plausible. No conclusion here depends on it.
 - **Seasonality.** Never run with the proper tool; substituted by a two-point hand check.
 - **The Q3 date itself.** Vendor-derived. No company announcement confirms 2026-11-16.
 - **Detector coverage.** The two benches consulted materially different detector lists, so we cannot state that the dispatched roster was fully covered.
 - **The price.** \$8.22–8.285 is a Friday close. Refresh from the live feed before any sizing decision.
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